Reliance Industries Limited

NSE: RELIANCE | Energy · Digital · Retail — Conglomerate | 4 August 2026

HOLD **Fair value: ₹1,361** | CMP: ₹1,302 (04-Aug-2026) | Upside: +4.5% (total return ~5.0%)

Investment Summary

Reliance is India's largest company and its most awkward to value. It is four businesses in one holding structure — Oil-to-Chemicals, Jio, Retail and upstream oil & gas — with a fifth (New Energy) still pre-revenue. No single multiple describes it, so we value it sum-of-the-parts, adjusted for the stakes Reliance actually owns.

The shares tell their own story: at ₹1,302 the stock sits near a 52-week low of ₹1,250, roughly 19% below its ₹1,612 high and down ~7% over twelve months, even as FY2026 delivered record revenue (₹10.6 lakh crore, +9.6%) and record consolidated profit (₹95,754 crore, +17.8%). The market is not disputing the earnings. It is discounting the structure.

Our sum-of-the-parts gives ₹1,423 per share: Jio at 15x FY27E EBITDA (₹87,000 crore) but only 66.43% owned; Retail at 24x on ~85% ownership; O2C at 7x; upstream at 5x on ₹19,500 crore; New Energy carried at invested capital — less ₹1,22,914 crore of net debt. A conservative FCFF DCF returns ₹1,156, below the market price, and 22x FY27E EPS of ₹66 gives ₹1,452. Weighting the sum-of-the-parts most heavily (60/25/15) blends to ₹1,361.

That is about 4.5% above the current price, or roughly 5% including the dividend — and that number, not the price, is the argument. India's ten-year government bond yields 7.1%. An expected total return of ~5% means accepting the risk of a cyclical refiner, a margin-compressing retailer and an unlisted telecom IPO for less than the sovereign pays to do nothing. On that test the call is not close. The Street's targets cluster between ₹1,640 and ₹1,690, roughly 26% above the market; we can reproduce them, but only by paying 17–19x for Jio and 28–32x for Retail simultaneously, and we are not willing to underwrite both before the Jio IPO establishes what the market will actually pay.

Q1 FY2027 Results Review

Reliance reported Q1 FY2027 on 17 July. Revenue from operations rose 27% year on year to ₹3,09,468 crore, and recurring EBITDA reached a record ₹54,067 crore, up 10.1%. Reported net profit of ₹23,196 crore looked like a 24.6% collapse — but that comparison is optical. The year-ago quarter carried ₹15,119 crore of other income including a one-time gain on the Asian Paints stake sale, against ₹6,550 crore this year. Strip it out and recurring profit grew roughly 6%. Note also that the headline consolidated figure flatters the owner: EPS of ₹15.48 on 1,353 crore shares implies about ₹20,950 crore attributable to shareholders, the balance belonging to the minority investors in Jio and Retail.

Underneath, the mix was healthy. O2C EBITDA rose 17.2% to ₹17,010 crore — a four-year high, helped by favourable refining spreads during a quarter of energy volatility. Jio Platforms delivered a record ₹20,865 crore, up 15.1%, at a 53.3% EBITDA margin. Consumer businesses now contribute more than half of consolidated EBITDA, which is the structural shift the equity story has been promising for a decade.

The blemish is Retail. EBITDA of ₹6,309 crore came at a 7.9% margin — 80 basis points of compression — with segment profit down more than 14% year on year. For a business carrying a premium multiple in every sum-of-the-parts on the Street, a shrinking margin is not a rounding error; it is the single most vulnerable assumption in the valuation, and it is why we carry Retail at 24x rather than the 28–32x others use.

Snapshot

Metric	Value	Note
Market cap	~₹17.7 lakh crore	India's largest listed company
FY2026 revenue	₹10,55,780 crore (+9.6%)	Record; gross revenue ₹11.76 lakh crore
FY2026 net profit / EPS	₹95,754 crore (+17.8%) / ₹59.69	Record profit
Valuation	23.6x trailing P/E · 2.0x book	ROE 8.9%, ROCE 10.3%
Net debt	~₹1.23 lakh crore	~0.7x EBITDA — comfortable
Free cash flow	₹70,023 crore in FY2026	From −₹16,770 crore in FY2023

Valuation

Sum-of-the-parts is not a stylistic choice here; it is the only honest method. A refinery, a telecom network and a grocery chain do not share a cost of capital, a growth rate or a multiple. Equally important — and often skipped — Reliance does not own all of what it operates. Jio Platforms is 66.43% owned after the 2020 stake sales to Meta, Google and a series of financial investors; Reliance Retail Ventures is roughly 85% owned. Valuing those segments at 100% overstates the equity by a wide margin.

Segment by segment (FY2027E EBITDA):

- Jio Platforms — ₹87,000 crore at 15x, giving ₹13.05 lakh crore. Bharti Airtel trades near 14.5x; the Jio IPO is expected in the ₹12–13 lakh crore range, implying ~17x. Our multiple deliberately sits between the listed comparable and the IPO ask. RIL's 66.43% share: ₹8.67 lakh crore.
- Reliance Retail — ₹27,500 crore at 24x, below the 28–32x the Street applies, because EBITDA growth has stalled. RIL's ~85% share: ₹5.61 lakh crore.
- O2C — ₹64,000 crore at 7x, mid-cycle for refining and petrochemicals. We do not annualise the Q1 spike: the segment is cyclical and just posted a four-year high. ₹4.48 lakh crore.
- Oil & Gas (upstream) — ₹19,500 crore at 5x against declining KG-D6 gas volumes; Q1 delivered ₹4,973 crore, essentially flat year on year. ₹0.98 lakh crore.
- New Energy — no meaningful EBITDA yet; carried at ₹75,000 crore of invested capital. This is an option, not a business, and we decline to capitalise a narrative.

Gross attributable enterprise value is ₹20.48 lakh crore; less ₹1,22,914 crore of net debt (0.57x annualised EBITDA), equity value is ₹19.25 lakh crore, or ₹1,423 per share across 1,353 crore shares. A useful confirmation of the stake adjustments: FY2026 consolidated PAT of ₹95,754 crore against EPS of ₹59.69 implies roughly ₹80,800 crore attributable to owners — a ~17% minority leakage that mirrors, in the P&L, exactly what we deduct in the sum-of-the-parts.

Two cross-checks keep it honest. A conservative FCFF DCF (WACC 11%, terminal growth 5%) on consolidated free cash flow returns ₹1,156 — below the market price. That is the uncomfortable truth in this name: the consolidated cash flows alone do not justify ₹1,302, because a decade of heavy capex has held ROE at 8.9%, under any reasonable cost of equity. The value depends on the segments being worth more apart than together. A relative cross-check at 22x FY27E EPS of ₹66 gives ₹1,452. Blending 60% sum-of-the-parts, 25% DCF and 15% relative gives ₹1,361.

The return hurdle is the heart of the matter. With the ten-year G-sec at 7.1% and an equity risk premium of five to six points, Reliance's cost of equity is roughly 12–13%. The company earned an 8.9% ROE in FY2026. A business earning materially below its cost of capital destroys value at the margin however impressive its scale, and that — not sentiment — is the honest explanation for the conglomerate discount the market has applied for years. It is not an error waiting to be arbitraged; it is the price of capital allocation that has yet to earn its keep. Our sum-of-the-parts says the assets are worth more apart than together, but until the parts are actually separated, the discount is rational.

Sensitivity is the whole argument, so we stress the model rather than defend a point estimate. A bear case (Jio 13x, Retail 18x, O2C 6x, New Energy written down to ₹40,000 crore) gives ₹1,195, about 8% below the price. A bull case (Jio 17x, Retail 30x, O2C 8x) gives ₹1,522, some 17% above it, and the Street's assumptions imply ₹1,577. Downside is contained; upside requires the Jio IPO to clear near 17x and retail EBITDA to reaccelerate. Individually, no single input breaks the thesis — writing New Energy to zero costs about ₹30 per share — but the rating is genuinely finely balanced: at the deal-implied RRVL stake of ~88.7%, rather than the conservative 85% we carry, the blend crosses into ACCUMULATE. We hold the lower figure until the exact shareholding is confirmed, and would rather be marginally too cautious than marginally too kind.

Key Risks

- Jio IPO prices below expectations, resetting the largest block of the valuation; post-issue dilution of RIL's 66.43% holding is an additional drag.
- Retail EBITDA growth stays flat, undermining the premium multiple the segment carries in every SOTP.
- O2C is cyclical; Q1's four-year-high spread is a peak, not a run-rate, and refining margins mean-revert.
- New Energy capex compounds before it earns — ROE is already 8.9% after a decade of heavy investment.
- The conglomerate discount persists: Reliance has traded below Street sum-of-the-parts for years, and value unlocking has repeatedly slipped.
- Regulatory and policy exposure across energy pricing, telecom tariffs and fuel taxation.

Company Overview

Reliance Industries operates India's largest refining and petrochemicals complex at Jamnagar, the country's largest telecom network through Jio, and its largest organised retail footprint through Reliance Retail, alongside upstream oil & gas and an emerging New Energy business in solar, batteries and hydrogen. Founded by Dhirubhai Ambani and led by Mukesh Ambani, the promoter family holds roughly 50%. The strategic direction of the last decade has been a deliberate rotation of cash flow from hydrocarbons into consumer and digital businesses — a transition that is now visible in the numbers, with Jio and Retail contributing more than half of consolidated EBITDA.

Disclaimer